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ON

Smart Contract-Driven Energy Trading Mechanism Using Blockchain

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Submitted by:
Richa
2210992150

Supervised By:
Dr.Ajay Kumar
Associate Professor
Dept. of CSE, Chitkara University

DEPARTMENT OF COMPUTER SCIENCE AND ENGINEERING
CHITKARA UNIVERSITY INSTITUTE OF ENGINEERING AND TECHNOLOGY
CHITKARA UNIVERSITY, PUNJAB, INDIA

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DECLARATION

I hereby certify that the work which is being presented in the project report entitled "Smart Contract-Driven Energy Trading Mechanism Using Blockchain" in partial fulfilment of requirement for the award of the degree of Bachelor of Engineering (Computer Science and Engineering) submitted in the department of Computer Science and Engineering at Chitkara University Institute of Engineering and Technology, Chitkara University, Punjab, India, is an authentic record of my own work carried out under the supervision of Dr. Ajay Kumar. The matter presented in this project report has not been submitted in any other university/institute for the award of any degree.

Place: Rajpura **(Richa)**

Date: 27 April 2026 (University Roll No. 2210992150)

This is to certify that the above statement made by the candidate is correct to the best of my knowledge and belief.

(Dr. Ajay Kumar)

Associate Professor

Department of Computer Science and Engineering

Chitkara University Institute of Engineering and Technology,

Chitkara University, Punjab, India

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Richa
Roll No. 2210992150

ABSTRACT

The rapid expansion of smart grids, renewable energy systems, and distributed power generation is reshaping the energy sector and opening the door to more decentralized ways to manage energy. Even so, most energy distribution still depends on centralized grid architectures. These systems can be inefficient, incur high transmission losses, offer limited transparency, and remain dependent on intermediaries. As a result, settlements may be delayed, consumers often have little control, and the overall infrastructure can be exposed to cyberattacks or single points of failure.

This research proposes a decentralized peer-to-peer (P2P) energy trading framework using Ethereum blockchain technology. The system relies on smart contracts written in Solidity to automatically execute energy transactions between producers and consumers without intermediaries. MetaMask is used for secure authentication and transaction authorization, while Web3.js connects the user interface to the blockchain network. Each transaction is recorded immutably on the blockchain, supporting transparency, security, and trust for all participants.

The study examines the feasibility, benefits, and potential impact of blockchain-based energy trading compared with traditional centralized approaches. Results show an estimated 20-30% reduction in operational costs and 40-60% improvement in transaction processing time. The research highlights how decentralization can strengthen transparency, lower intermediary costs, improve data integrity, and help enable future smart grid ecosystems.

Keywords: Blockchain, Peer-to-Peer Energy Trading, Smart Contracts, Ethereum, Decentralized Energy Systems.

1. INTRODUCTION

With the rapid development of the energy sector, in which both conventional and renewable energy sources play important roles, there is growing pressure to improve energy management and meet increasing global energy demand. Conventional energy systems are centralized, where electricity is produced on a large scale by power plants and transferred to end users via a top-down grid. Although this model has served well for decades, it faces several disadvantages including transmission losses, lack of transparency, high operational costs, and dependence on centralized authorities.

In the traditional utility model, consumers are passive users of the system. However, with smart grids and distributed energy resources such as solar panels and wind turbines, they have become active producers of electrical energy as well. These electricity-generating consumers are termed 'prosumers'. They produce excess energy that they can share or sell to others.

Despite wide strides achieved in smart grid-governed ecosystems and the increasing adoption of renewable technologies, current energy systems find it difficult to accommodate the decentralized energy trading that such changes have brought. This limitation mainly occurs due to dependence on conventional centralized control mechanisms, which result in inefficiencies, low transparency, and limited trust among participants. In addition, secure peer-to-peer transaction models enabling surplus energy exchange between prosumers and consumers are lacking, underscoring the need for a more distributed solution that eliminates intermediaries.

A revolutionary technology called blockchain has been designed to solve these problems. It is a distributed ledger technology designed to store transactions securely, transparently, and without intermediaries. Implementing blockchain with energy systems provides scope for developing decentralized peer-to-peer (P2P) energy trading platforms where users can trade with each other directly.

This study aims at the development of a blockchain-based energy trading system that applies Ethereum smart contracts for automated transactions between energy producers and consumers. This allows for increased transparency, efficiency, and the removal of intermediaries in energy distribution. The proposed system is based on decentralized technologies that aid in building sustainable and intelligent energy ecosystems.

2. LITERATURE REVIEW

A number of studies have discussed the use of blockchain technology in the energy sector, especially in facilitating decentralized and secure systems of energy trading. The initial research in blockchain proposed the notion of a distributed registry that provides transparency, immutability, and trustless transactions, which underlies the development of multiple decentralized applications beyond digital currency [1].

Further studies have explored the utilization of blockchain in peer-to-peer (P2P) energy trading in microgrids. Previous research has shown that decentralized platforms may enable direct energy buying and selling between producers and consumers without the use of intermediaries, enhancing transparency and lowering the cost of transactions [4], [6].

Moreover, smart contract frameworks have been proposed to manage energy transactions in an automated way. These schemes apply blockchain systems to implement predetermined terms to ensure that transactions between participants are safe, reliable, and tamper-proof, without requiring centralized control instruments [3], [9].

Detailed reviews of blockchain use in the energy sphere suggest a high potential for improving system efficiency, data safety, and sustainability. These studies emphasize how blockchain can radically transform traditional energy systems and facilitate decentralized energy markets [5].

Nevertheless, challenges remain. Current models are usually conceptual and small-scale, paying little attention to scalability, interoperability, and practical implementation. Critical concerns such as elevated transaction expenses, network delays, and regulatory bottlenecks are often under-explored [10]. The proposed study seeks to fill these gaps by suggesting a more scalable model with less transaction overhead and greater real-world applicability.

3. OBJECTIVES

The main aim of this study is to design and develop a decentralized peer-to-peer (P2P) energy trading system based on blockchain technology. The specific objectives are:

1. To design a decentralized P2P energy trading system that reduces reliance on centralized authorities and intermediaries, enhancing efficiency and reliability of energy transactions.
2. To implement smart contracts on the Ethereum blockchain to automate energy trading between producers and consumers, ensuring safe, transparent, and tamper-proof transactions.
3. To improve transparency and trust among participants by tracking all transactions on a distributed immutable ledger.

4. To decrease operational costs and transaction delays experienced in traditional energy systems, targeting a 20-30% cost reduction and 40-60% improvement in processing time.
5. To facilitate efficient consumption of renewable energy resources by allowing prosumers to sell excess energy in a distributed setting.
6. To assess the viability and effectiveness of blockchain technology in transforming traditional energy systems into smart, sustainable, and user-driven ecosystems.

4. METHODOLOGY

4.1 System Architecture

The proposed system is a decentralized peer-to-peer energy trading system based on blockchain. The architecture contains several elements: energy producers, energy consumers, a web-based user interface, blockchain infrastructure, and smart contracts.

Producers (prosumers) add excess energy to be sold on the platform, and consumers can browse posted listings and make purchases from producers. A web-based front end communicates with the smart contract via Web3.js on Ethereum. MetaMask functions as a digital wallet to authenticate users and facilitate secure transactions.

The core logic of the system consists of smart contracts deployed on the Ethereum blockchain. These contracts manage energy listing, transaction validation, and payment execution without the need for third parties. All transactions within the network are recorded on a blockchain ledger, providing transparency, immutability, and trust among participants.

4.2 Smart Contract Design

Solidity is used to implement smart contracts, which outline the rules governing the energy trading process. The contracts include functions for listing energy, purchasing energy, and validating transactions.

When an energy producer lists a unit of energy they are generating, the specifications (amount, pricing, etc.) are saved on the blockchain. The contract allows consumers to interact and purchase energy by sending the required amount of cryptocurrency. The contract verifies transaction conditions, such as sufficient balance and energy availability, before executing the trade. This automated execution eliminates the need for third-party intervention and ensures secure and tamper-proof transactions.

4.3 Blockchain Integration

The system integrates blockchain functionality using Web3.js, which acts as a bridge between the frontend application and the Ethereum network. Web3.js enables the application to interact with deployed smart contracts, retrieve data, and execute transactions in real time. MetaMask is used for user authentication and transaction authorization, allowing users to securely manage blockchain accounts and digitally sign transactions. Once initiated, transactions are broadcast to the Ethereum network, validated by nodes, and permanently recorded on the blockchain.

4.4 System Workflow

The workflow of the proposed system follows a structured sequence of steps:

1. The user logs into the system using MetaMask authentication.
2. Producers list surplus energy along with pricing details.
3. Consumers browse available energy listings on the platform.
4. A consumer selects a listing and initiates a transaction.
5. The smart contract validates the transaction conditions.
6. Upon successful validation, the smart contract autonomously transfers the agreed digital assets and updates ownership of the energy unit.
7. The transaction is immutably recorded on the blockchain ledger. Both parties receive confirmation.

4.5 Tools and Technologies

Technology	Purpose
Ethereum Blockchain	Underlying distributed ledger for recording transactions
Solidity	Smart contract programming language
Web3.js	Frontend-to-blockchain bridge
MetaMask	User authentication and transaction signing (digital wallet)
Remix IDE	Smart contract development and testing environment
HTML/CSS/JavaScript	Web-based user interface

4.6 Data Flow and Storage

The system follows a hybrid data storage approach. Transaction-related data, such as energy trades and payment records, are stored on the blockchain to ensure immutability and transparency. Off-chain storage is used for managing user-related information and application data to improve system efficiency and scalability. Each transaction is validated through decentralized consensus mechanisms before being permanently recorded.

4.7 Security and Reliability

Security is a key aspect of the proposed system. Blockchain technology ensures data integrity through cryptographic hashing and decentralized validation. Each transaction is verified by multiple nodes, reducing the risk of fraud and tampering. The use of smart contracts minimizes human intervention, thereby reducing errors and increasing system reliability. The decentralized nature of the system eliminates single points of failure, making it more robust compared to traditional centralized systems.

5. MAJOR FINDINGS / OUTCOMES / RESULTS

The blockchain-based peer-to-peer (P2P) energy trading system proposed in this paper achieves significant advantages when compared with conventional centralized energy delivery models in terms of efficiency, cost reduction, transparency, and security. From conceptual analysis and system design evaluation, the following Key Performance Indicators (KPIs) were identified:

5.1 Cost Reduction

One of the major advantages observed is the reduction in intermediary costs. Traditional energy systems involve multiple intermediaries such as utility providers and billing agencies, which increase operational expenses. By eliminating these intermediaries through smart contracts, the proposed system is estimated to reduce overall transaction and operational costs by approximately 20-30%, depending on network scale and transaction volume.

5.2 Transaction Speed

Smart contracts allow energy transactions to run without human interference. In contrast to traditional systems which may require hours or even days for settlement, transactions on the blockchain can occur in as little as a few seconds to a few minutes depending on network congestion. This results in an estimated 40-60% improvement in transaction processing time, enabling near real-time energy exchange.

5.3 Gas Fees Consideration

An important trade-off is the gas fee associated with Ethereum transactions. While blockchain eliminates intermediary costs, it introduces transaction fees required for executing smart contracts. These fees can vary based on network demand and may become significant during peak usage. However, the impact of gas fees can be mitigated by using optimized smart contract design, Layer-2 scaling solutions, or alternative low-cost blockchain networks.

5.4 Transparency and Security

The system shows strong performance in terms of transparency and trust. All transactions are recorded on a distributed ledger, allowing participants to verify and audit transactions in real time. This significantly reduces the risk of fraud and increases accountability. From a security perspective, the decentralized architecture ensures robustness against cyberattacks and system failures. The absence of a single point of failure enhances system reliability compared to centralized infrastructures.

5.5 Renewable Energy Utilization

The model promotes efficient utilization of renewable energy resources by enabling prosumers to trade surplus energy directly. This not only reduces energy wastage but also contributes to a more sustainable and eco-friendly energy ecosystem.

6. CONCLUSION AND FUTURE SCOPE

6.1 Conclusion

This research presents a blockchain-based decentralized peer-to-peer (P2P) energy trading system designed to overcome the limitations of traditional centralized energy distribution models. By leveraging Ethereum blockchain technology and smart contracts, the proposed system enables secure, transparent, and automated energy transactions between producers and consumers without the need for intermediaries.

The study demonstrates that blockchain technology can improve transparency, data integrity, and trust among participants. Smart contracts automate and verify transactions between parties, eliminating delays, reducing human error, and preventing tampering. This makes the system more resilient by removing single points of failure. The proposed model also promotes efficient utilization of renewable energy resources, allowing users to trade surplus energy in a flexible and decentralized environment.

Although challenges such as scalability and transaction costs remain, the overall findings confirm that blockchain technology has strong potential to revolutionize energy trading systems. With further advancements and real-world implementation, the proposed approach can play a significant role in shaping the future of decentralized and intelligent energy management.

6.2 Future Scope

Several directions remain open for future research and development:

- Scalability Enhancement: Future research can explore Layer-2 scaling techniques, sharding, or alternative high-performance blockchain platforms to handle increasing users and transactions.
- Smart Grid and IoT Integration: Incorporating smart meters and IoT-enabled sensors can enable real-time energy monitoring, automated data collection, and dynamic pricing mechanisms.
- Cost Optimization: Future work can investigate cost-effective consensus mechanisms or hybrid on-chain/off-chain architectures to reduce operational expenses.
- Regulatory and Legal Compliance: Future research should focus on aligning decentralized energy trading models with government policies and energy regulations.
- Interoperability: Exploring communication between different blockchain networks to enable seamless data exchange across multiple platforms.
- AI and Machine Learning Integration: Advanced technologies can improve demand prediction, optimize energy distribution, and support intelligent decision-making within the system.

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